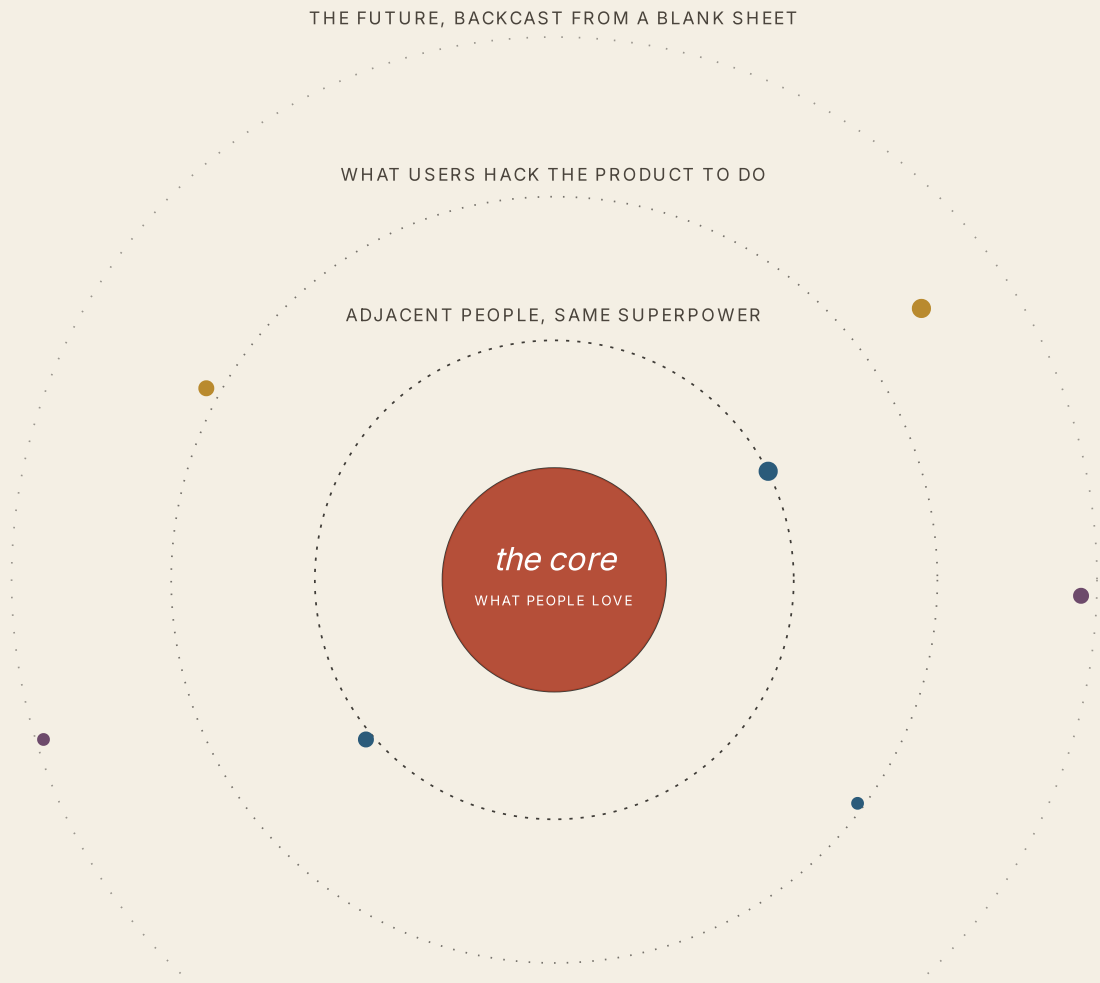


Cells, racehorses & the *money in the banana stand*

Peter Sellis · first PM at Snapchat, former head of product at Discord · episode of 20 September 2026

A plain-language study guide to a 90-minute conversation about how great product teams are organised, why most product managers disappoint, where growth really comes from, how consumer apps make money, and what all of it means if you want to build products that make people’s lives better.



GUEST

Peter Sellis. Snap (first PM, ~7 yrs), Discord (head of product). Between roles when recorded.

HOST

Lenny Rachitsky, Lenny's Podcast. Published 20 Sep 2026, about 90 minutes.

LEVEL

Written for aspiring and early PMs. Every metric and term is explained in the margin where it first appears.

METHOD

Quotes checked against the official transcript. Claims fact-checked against filings and reporting, Sept 2026.

The episode on one page

Who is talking, what he has built, and the seven ideas worth carrying out of the room.

Peter Sellis joined Snapchat as its first product manager and stayed about seven years, through the Stories era, the 2018 redesign crisis and the build-out of a multi-billion-dollar ads business. He then ran product at Discord during its return to a gaming-first strategy. He recorded this episode between jobs, with no PR team listening, and it shows. The takes are blunt, sometimes deliberately provocative, and usually backed by a small piece of maths.

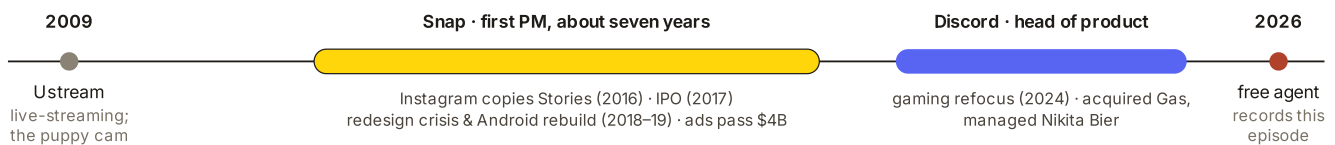


Fig. 0.1 Peter's path. Exact start and end dates are not public; the Snap tenure ("seven years") and Discord role are as he describes them in the episode. His LinkedIn also lists time at a startup studio that incubated Dollar Shave Club and Liquid Death.

Seven ideas to carry out of the room

- 1. Collaboration has a cost nobody books.** Build teams like independent cells: a shared belief everyone can recite, and a clear answer to "who decides this?" (Chapter 1)
- 2. Spend your time on your best people.** Keep handing strong performers more decisions until you finally see a bad one. (Chapter 1)
- 3. The median PM is mediocre for mathematical reasons.** The best leave to start companies, the weakest cling on. A PM must add value over having no PM at all. (Chapter 2)
- 4. Taste is mostly restraint.** A museum that hangs its whole collection has no curator. Ask candidates what they built and chose not to ship. (Chapter 2)
- 5. Growth usually hides in the core.** Moving people who already use you from 10 days a month to 13 beats chasing new, flaky users. (Chapter 3)
- 6. How you make money is shaped by where the app opens.** Snapchat opens to a camera, not a feed, and that one decision explains much of its ad story. (Chapter 5)
- 7. Be "long-term greedy".** Advertiser ROI today is tomorrow's revenue, and in AI chat the thing you must not spend is trust. (Chapters 5 and 6)

How to read this guide

The chapters follow themes, not the running order of the conversation. Quotes carry a timestamp so you can jump to the moment in the audio. The right-hand margin holds short explanations, colour-coded:

- Metric: how to calculate it and read it
- Term or idea from outside the episode
- Fact-check against outside sources
- Person or company mentioned

Blue *More examples* boxes add two or three real cases for each big idea, found through research beyond the episode, plus a "when it breaks" note on where the idea stops working. *Taste* boxes pull out a habit of judgement you can practise. *Flourishing* boxes ask whether a product or idea actually leaves people

better off. Check boxes compare what was said with what the record shows. Chapter 7 holds full product profiles (the need each product serves, its features, how it makes money and what to learn from it) for every company that came up.

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1 ORG DESIGN Build teams like cells, not committees

Peter's most quotable line is also his most useful: a team moves fast when everyone shares a belief and everyone knows who decides.

THE PROVOCATION

“Design teams like a terrorist organization”

Peter admits the label needs “workshopping”, and he is explicit that he is setting aside violence. What he borrows is structural. A resilient underground network survives because it has two properties. First, **a shared ideology**: every member knows why they are doing what they do, so they need no instructions from the top. Second, **a clear map of trust**: everyone knows who may decide what, so small cells can act alone when headquarters is unreachable.

A good terrorist organization essentially has two things. One is, it has this ideological culture that everyone understands why they are doing what they're doing. And then it has a very, very clear organizational structure of who can be trusted with which decision.

PETER SELLIS · 07:28

Why would a product leader want this? Because of two beliefs he holds.

Belief one: collaboration has a hidden price

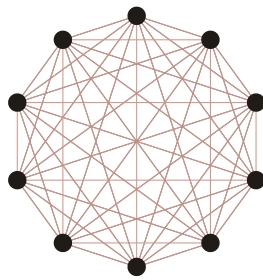
No executive ever says “stop collaborating”. Peter thinks that silence is a warning sign. Every extra person who must agree before something ships adds a line of communication, and the team can only move as fast as its slowest link. He puts it as “*you're moving as slow as the slowest node in the system*” 06:19.

The maths is simple and brutal. With n people who all need to stay aligned, the number of one-to-one channels is $n(n-1)/2$. Five people have 10 channels. Ten people have 45. Twenty have 190. Headcount doubled, then doubled again; the talking grew nineteen-fold.

● Coordination cost

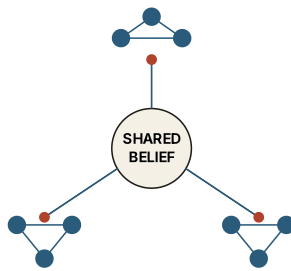
The time and attention spent keeping people in sync: meetings, reviews, Slack threads, waiting for sign-off. It grows much faster than headcount. Fred Brooks made the same point about software in *The Mythical Man-Month* (1975): adding people to a late project makes it later.

Everyone aligns with everyone
10 people → 45 channels



every change needs everyone

Cells around a shared belief
3 cells of 3 + 1 lead → 12 channels



each cell has one DRI (red dot) and full authority inside its lane

Channels grow with the square of headcount

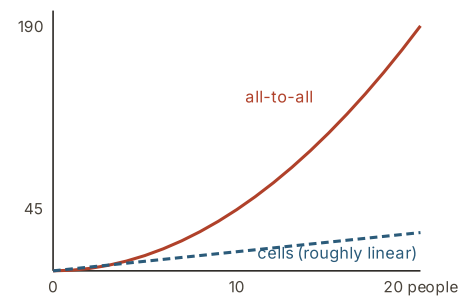


Fig. 1.1 Why “over-collaboration” is expensive. If every person must stay aligned with every other, channels grow as $n(n-1)/2$. Cells that share one belief and have one decider each only need to sync at their edges. The belief does the aligning that meetings would otherwise do.

Belief two: PMs should make the founder’s old decisions

At a fast-growing company, Peter wants product managers deciding things that the founders themselves would have decided six months ago, and certainly a year or two ago. That only works if the PM carries the founder’s reasoning in their head. So the head of product becomes, in his words, “*a vessel for their vision*” 08:37: they absorb the founders’ view and compress it into short phrases that anyone can repeat.

Put the two beliefs together and you get the model. The *ideology* (a strategy so clear it feels almost religious) replaces most alignment meetings. The *trust map* (who is the DRI, who is single-threaded, “whose throat to choke”) replaces most sign-offs. Peter’s claim is that with both in place “*you don’t need to over-collaborate, and you can be assured of achieving the results that you wanted as if you had collaborated*” 08:24.

● Synecdoche

A part that stands for the whole (“all hands on deck”). Peter wants strategy phrases that work this way: say six words and the whole strategy comes to mind. See “core product value” in Chapter 3 for his best examples.

● DRI

Directly Responsible Individual, a term popularised at Apple. One named person owns an outcome. “Single-threaded owner” (Amazon) means the same thing: that person works on nothing else.

TASTE · HOW TO PRACTISE THIS ON A SMALL TEAM

- **Write the belief in one sentence.** If two teammates would phrase your strategy differently, you do not have an ideology yet, you have a slide.
- **Name a decider for every open question.** “Who decides the onboarding copy?” should have one name as its answer, not a meeting.
- **Count your approvers.** For your last launch, how many people had to say yes? Each one is a node the work had to pass through.
- **Test for disagreement.** Peter’s rule for team principles: if nobody could possibly disagree with it (“we value collaboration”), it is not a principle. A real one costs you something.

MORE EXAMPLES · SMALL CELLS, BIG OUTPUT

Amazon’s “two-pizza teams”. No team should be bigger than two pizzas can feed, usually fewer than ten people. Each owns one product or service end to end (“single-threaded ownership”), and leaders steer through written narratives rather than approval meetings. *AWS Executive Insights*

WhatsApp, 2014. When Facebook agreed to buy it for \$19 billion, WhatsApp served about 450 million users with roughly 55 employees. One clear belief (fast, private, no ads, no gimmicks) did the aligning that meetings do elsewhere. *NPR*, Feb 2014

Linear, 2023. About 50 people, no OKRs, one head of product and no other PMs. Projects are staffed by roughly one designer and two engineers who form around a project and disband when it ships. *Lenny’s Newsletter*, “How Linear builds product”

WHEN IT BREAKS Small teams only work if the seams between them are clean. Amazon's own insiders describe two-pizza teams as insufficient on their own: what made them work was pairing each with a single-threaded leader who owned the outcome and the dependencies. Cells without a shared belief and clear interfaces become silos.

The obvious counter-argument deserves a sentence. Strong ideology can turn into groupthink, and a “no collaboration” culture can hide bad decisions until they ship. Peter's model leans on two safety valves that are easy to forget: people are trusted with decisions only after they have earned it, and the leader keeps watching for bad calls (next section). Without those, “cells” is just a nicer word for silos.

SPIKY TALENT

Nikita Bier, Liam Neeson and Phil Jackson

When Discord bought Nikita Bier's app Gas, Nikita joined Peter's team. Peter's description is affectionate and funny: managing Nikita is like being the boss of Liam Neeson's character in *Taken*. If your daughter is kidnapped, his “*very special set of skills*” is exactly what you want. If you need him to buy groceries, he may clear out the whole shop 11:54. Peter once threatened to book a paid call with him on the expert-call app Intro just to get a one-on-one.

The serious point: **an org that cannot absorb spiky people is broken**. Some of the most valuable builders are brilliant at one thing and poor at the rest. Peter calls failing to handle them a “*failure state*” 13:08. His model is Phil Jackson, who won titles as a player and then as coach of both the Bulls and the Lakers by blending stars who did not get along, drawing on both Eastern and Western philosophy.

He adds a musician's metaphor worth keeping. Treat creative product people like bands. Every great band releases a dud album. The question is whether you still believe in the artist. If you do, you ride out the dud instead of leaving.

COUNTER TO INSTINCT

Ride your racehorses

Most managers spend their time on whoever is struggling. Peter does the reverse: “*If you see somebody drowning, you want to save them. I did the absolute opposite*” 00:35. Strong performers get more and more decisions until they finally make a bad one.

People who are making consistently good decisions, I just want to load them up with more decisions until I start to see them make bad ones.

PETER SELLIS · 48:23

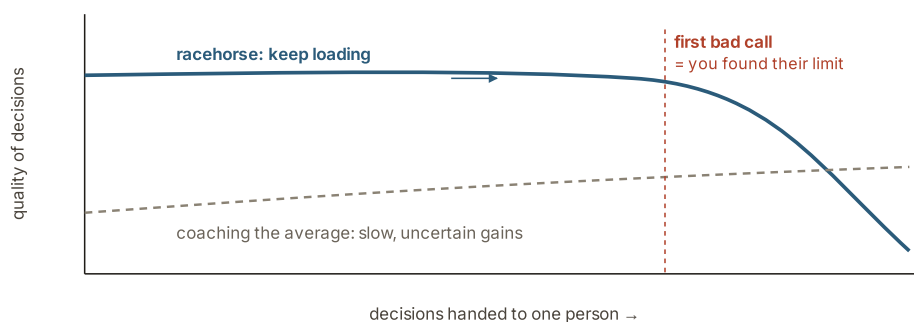


Fig. 1.2 Loading until the first bad call. A conceptual picture, not data. Peter keeps adding scope to people who decide well, because confidence compounds and the ceiling is only visible once you hit it. The dashed line is the slower path of trying to lift average performers.

● Cult vs. cell

Lenny suggests “cult” as the kinder word. Peter's distinction: a cult centres on its leader, a cell on a cause. He wants loyalty to the strategy, not to himself.

● Nikita Bier

Serial builder of viral teen apps. Co-founded *tbh* (sold to Facebook, 2017) and *Gas* (#1 on the US App Store; bought by Discord in January 2023). Later head of product at X, July 2025 to August 2026, now an adviser there.

● Phil Jackson

Won two NBA titles as a player (Knicks) and 11 as a coach: six with the Chicago Bulls (Jordan, Pippen, Rodman) and five with the Los Angeles Lakers (Shaq, Kobe). Known for the “triangle offence” and for bringing Zen practice to locker rooms.

● Peter Principle

From Laurence J. Peter (1969): in a hierarchy, people get promoted until they reach a job they cannot do well, then stay there. Peter Sellis jokes that his whole career illustrates it, and uses it on purpose: he pushes people up to their limit to find out where it is.

Two rules make this humane rather than reckless. He always **defends his people in public** and never criticises them in front of executives. And he warns that **not paying attention to someone does not mean they are failing**. People he has worked with before often get no oversight at all, because he trusts them. He is candid about the cost: he has no good mechanism for helping struggling people improve, so they are largely left to sink or swim, which he admits is probably frustrating to work under.

MORE EXAMPLES · BETTING ON YOUR STRONGEST PEOPLE

Netflix's "talent density". Reed Hastings argues that *"with the right density of talent, there is very little process needed."* Managers apply a "keeper test": if this person said they were leaving for a similar job, would I fight to keep them? If not, Netflix gives a generous severance and hires someone stronger. [Netflix culture memo](#); Hastings, *No Rules Rules*

WHEN IT BREAKS Talent-density cultures can slide into fear, where people hide mistakes to pass the keeper test, and "we only hire A-players" becomes an excuse for never developing anyone. The same idea that frees strong people can freeze everyone else.

FLOURISHING · IS "RIDING PEOPLE INTO THE GROUND" GOOD FOR THEM?

Handing someone more responsibility than they think they can carry is one of the fastest ways people grow, and many look back on those years as the best of their careers. The risk is burnout, and quietly abandoning the people who most need a mentor. If you adopt this style, pair it with two things Peter hints at but does not systematise: an honest check-in on load (not just on output), and a deliberate plan for the people you are not "riding", even if the plan is to help them find a role where they can win.

THE CRAFT

2 Why most PMs disappoint, and what great looks like

A statistical argument about the profession, a test every PM should pass, three tensions inside every great one, and the idea that taste is mostly the art of leaving things out.

THE HOT TAKE

"Most product managers are bad"

Lenny puts it to Peter directly: you believe most PMs are bad and often a net negative for their company. Peter agrees, and instead of complaining about individuals he offers a structural explanation in three steps.

Step 1: the people who become PMs are already a tail. Suppose "product sense" is spread across the population on a normal bell curve. The people who end up as PMs come from its right-hand edge. Take only the tail of a bell curve and look at it on its own, and it is lopsided: most people crowd near the cut-off and a few stretch far to the right. Peter calls this a power distribution. In a lopsided distribution **the median sits well below the mean**, because a handful of stars pull the average up while the typical person sits near the bottom.

Step 2: the best leave. The skills of a great PM (judgement, influence, a feel for the business) are exactly what founders and executives need. So the strongest PMs exit the profession by becoming founders, general managers and heads of product.

Step 3: the weakest stay. During the years of near-zero interest rates, product management became the best-paid job in tech open to non-engineers, and its definition was fuzzy. Once in, people had strong reasons to hold on. Good people leaking out of the top and weak people clinging to the bottom pushes the median down further.

● Mean vs. median

Mean: add everyone up and divide.
Median: line everyone up and take the middle person. In lopsided data they split. If nine friends earn \$50k and one earns \$5M, the mean is \$545k and the median is \$50k. The median tells you what a typical person is like.

● ZIRP

“Zero interest-rate policy”, roughly 2009–2021. With money nearly free, companies hired freely because the cost of an extra hire seemed low. Peter’s point: low interest rates make opportunity costs *look* low, but coordination costs are real either way.

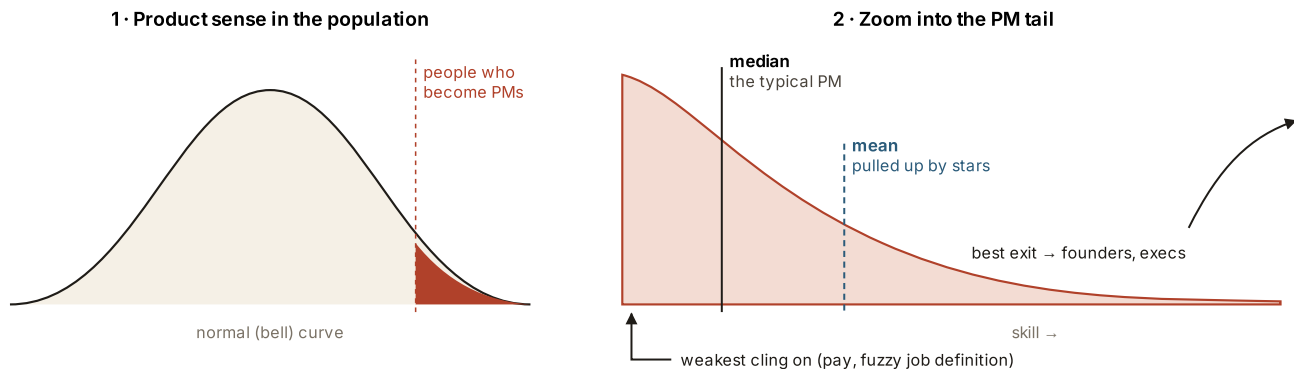


Fig. 2.1 Peter's statistical argument. Cut the top off a bell curve and the remaining population is skewed: the typical member (median) is closer to the cut-off than the average suggests. Then the profession loses its best to entrepreneurship and keeps its weakest. The shapes are illustrative, not measured.

Lenny adds a second-order effect: many people have never worked with a great PM, so they conclude the whole job is useless. Peter agrees and offers a “midwit meme” reading of who complains. Great engineers rarely complain about PMs, because they bend PMs to their will and refuse to work with bad ones. Weak engineers do not complain either, because PMs give them decisions to hide behind. The complaints come from the middle.

THE BAR

Value over nobody

Snap famously went a long time without hiring product managers. That history gave Peter his baseline test for any PM:

The baseline: we should just be able to operate this product without any product manager. So, this person has to provide value over nobody.

PETER SELLIS · FROM THE EPISODE'S OPENING CLIPS

This reframes the job. A PM who schedules meetings, writes tickets that engineers could have written, and relays opinions between teams is adding coordination cost (Chapter 1) and may be below zero. A PM earns their seat by doing things that would not happen without them: making a hard call faster, bringing in information nobody else has (customer, data, business), or holding the long-term picture while everyone else is heads-down. Peter says he evaluates PMs as “the person and the place that they are at that time” 19:23: the same person can be net positive on one team and net negative on another. Linear (Chapter 1) is a live test of the baseline: one head of product, and PM work shared by designers and engineers.

● Midwit meme

An internet bell-curve meme where the people at both ends reach the same simple answer and the middle overthinks it. “Horseshoe theory” is the political version: the extremes resemble each other more than either resembles the centre.

● VORP

“Value over replacement player”, from baseball statistics: how many more runs a player adds than a cheap substitute would. Peter’s version is harsher. The comparison is not a substitute PM but *no PM at all*, with designers and engineers deciding for themselves.

Three pairs of wolves

Near the end, Peter describes great PMs as walking oxymorons. There are “*two wolves inside of the PM three times*” 01:16:40. Great PMs hold each pair in tension instead of choosing a side.



Fig. 2.2 The three tensions. The dot sits in the middle on purpose: the skill is holding both ends, not averaging them. In interviews Peter looks especially for the second pair, stories that show both love of good process and comfort tearing it up.

The first pair explains a behaviour that looks like modesty but is really security. PMs get too much credit no matter what, so a confident PM can afford to point at the engineer who stayed up all night. The second pair he tests hardest in interviews: someone who says “I have a checklist for everything” and yet can calmly throw it out, bordering on what he jokingly calls “*pathological demand avoidance*” 01:17:38. The third pair is about pace. Great PMs know exactly which building blocks the system needs in two years, and still set a daily tempo that the whole company feels.

TASTE

The museum curator

Asked whether software can still be a moat, Peter drifts to something he learned watching Snap’s founder, Evan Spiegel:

I think I saw Evan personally say no to better ideas than I’ve seen almost any other consumer startup launch.

PETER SELLIS · 35:09

His goal as head of product was to make the founders into the richest museum curators in the world. A curator’s skill is not owning art; it is choosing the small slice of the collection that belongs on the walls right now, for this moment in culture. “*If a museum has all of their collection on the walls, then the curator hasn’t done anything*” 36:17.

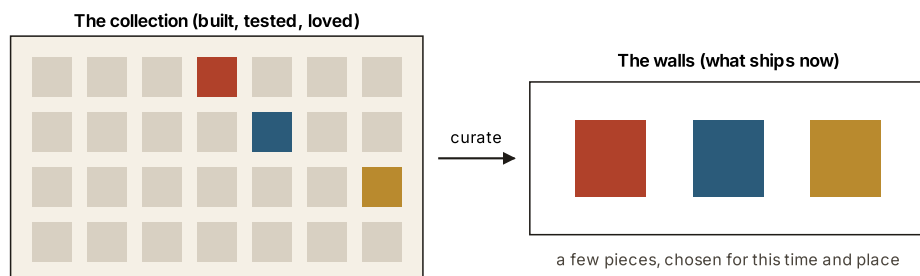


Fig. 2.3 Taste as restraint. Most of what a great team builds never ships. That shelf of good-but-not-now ideas is evidence of taste, not waste.

This gives you a practical interview question. Ask candidates about things they built that they never shipped. Not experiments that tested badly, but prototypes they held in their hands and decided the world was not ready for. Someone with a shelf of high-quality unshipped ideas has exercised the muscle of restraint, which Peter calls “*one of the few muscles of taste you can exercise*”.

Lenny connects this to AI. Coding and design agents are very good at adding things and almost never suggest removing them. As building gets cheaper, the scarce skill is deciding what does not deserve human attention. Peter's joking conclusion: maybe the world needs more PMs after all.

MORE EXAMPLES · RESTRAINT THAT MADE COMPANIES

Apple, 1997. Back at a near-bankrupt Apple, Steve Jobs cut roughly 70% of the product line and reduced it to a four-box grid: consumer or professional, desktop or portable. One great product per box. *widely documented; see Isaacson, [Steve Jobs](#)*

Instagram, 2010. It began as Burbn, a cluttered check-in app. Kevin Systrom and Mike Krieger noticed people mainly used the photo feature, so they cut everything else. In Systrom's words: *"We cut features, we focused on what we thought the world needed."* *Startup Archive*

WHEN IT BREAKS Restraint is not minimalism for its own sake. Instagram's cut worked because they kept the one thing users loved and then added the one feature that removed the barrier to sharing: filters, which made ordinary phone photos look good enough to post. Cutting without knowing what people love just leaves you with less.

TASTE · THREE RESTRAINT EXERCISES

- **Keep a "not now" shelf.** For every feature you ship, write down one you deliberately cut and why. Revisit the list in six months; you will learn what your "why" was worth.
- **Subtract before you add.** Before proposing a feature, name one thing in the product you would remove. If you cannot find one, you may not know the product well enough yet.
- **Edit the AI.** When an AI tool drafts a screen or spec, your first pass should be deletions. Count them.

3

GROWTH

Growth lives in the core

Twice in his career, at Snap and at Discord, the biggest growth came not from new markets but from making the product better for the people who already loved it.

THE MATHS

Why daily use is the prize

Peter believes almost every consumer product should optimise for **daily** use. His reason is biological before it is financial. Days are real: we wake, sleep and repeat. Very few habits run on a weekly rhythm, and monthly habits are mostly chores like paying bills. A product that fits into the daily cycle becomes part of someone's life. One that does not is something they occasionally remember.

Then comes what he calls eighth-grade maths. One person who uses your app every day produces 30 active days a month. Someone who shows up once a month produces one. **You need 30 casual users to equal one daily user**, and casual users are also the most likely to drift away. That is why the best consumer products have very high DAU/MAU ratios, and why nudging that ratio up by a few points can matter more than a big acquisition push.

Peter adds a subtle point: DAU/MAU is just a form of retention. Retention asks "given you used it in one period, what is the chance you use it in the next?" DAU/MAU asks the same question with the shortest period there is: given you used it today, will you use it tomorrow?

● DAU and MAU

Daily Active Users: distinct people who used the product on a given day.
Monthly Active Users: distinct people who used it at least once in the last 28–30 days. "Active" must be defined (opened the app? sent a message?), and the definition matters a lot.

Real DAU/MAU ratios

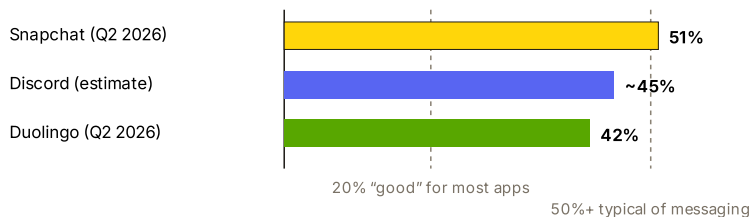


Fig. 3.1 Stickiness in the wild. Snap: 493M ÷ 971M. Duolingo: 58.7M ÷ 140.6M, a learning app behaving almost like a messaging app, thanks to streaks. Discord: ~90M ÷ ~200M, from third-party estimates (private company). Sources: Snap and Duolingo Q2 2026 results; Sacra.

DAU/MAU ("stickiness")

$$DAU \div MAU$$

The share of monthly users who show up on a typical day. Snapchat, Q2 2026: 493M ÷ 971M ≈ **51%**. Messaging apps often run above 50%; 20% is considered good for most consumer apps; shopping apps sit in single digits. Always compare within your category.

Measuring depth: L7 and L28

DAU/MAU hides the shape of your audience. The richer view is a histogram of how many days each user was active last month. Peter's growth strategy was to **push that histogram to the right**: move people from 10 days to 11, 12, 13. Each step, multiplied across tens of millions of users, is what he calls *"monster growth"* 55:31, and it requires no new users at all.

L7 / L28 ("L-ness")

For each user, count how many of the last 7 (or 28) days they were active. Plot the count as a histogram. Facebook popularised this; Peter credits Meta's growth playbook. An "L7 of 7" is someone active every single day.

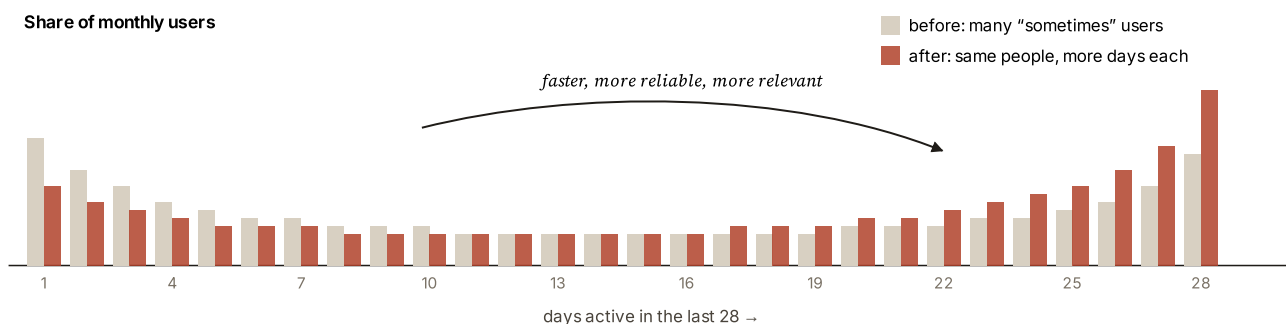


Fig. 3.2 Growing without new users. An illustrative L28 histogram. Messaging products often look like a "smile": a hump of occasional users and a hump of daily users. Improving the core shifts people rightward. Total users are unchanged; DAU rises because each person shows up more often.

CASE ONE

Snap after the 2018 redesign

In late 2017 and early 2018 Snapchat shipped a redesign that split friends' messages from media content. Users hated it: a petition gathered over a million signatures, and a single dismissive tweet from Kylie Jenner coincided with a sharp fall in Snap's share price. Peter remembers it as the only time Snap's overall DAU stopped growing quarter over quarter.

CHECK · WHAT THE NUMBERS SHOW

SLIGHTLY UNDERSTATED DAU did not just flatten; it fell for the first time ever, from 191M (Q1 2018) to 188M (Q2) and 186M (Q3 and Q4). The recovery lines up with what Peter describes. Snap rebuilt its Android app from scratch ("Project Mushroom", about 17 months of work): it came out 25% smaller and 20% faster, snap-sending on low-end phones rose 6% in the first week, and DAU returned to 190M in Q1 2019, with gains concentrated in the "rest of world" markets where cheap Android phones dominate. Sources: *Snap earnings*; *TechCrunch*, Apr 2019.

The fix was not a new feature. It was **performance**, especially on Android, for people who were already using the app. Peter says that focus kicked off *"almost like a growth renaissance"* 53:15 that lasted years. The lesson for an early PM is uncomfortable: speed and reliability are rarely anyone's favourite project, and they are often the highest-return work available.

MORE EXAMPLES · SPEED IS A GROWTH FEATURE

Google, 2009. Engineers secretly slowed search results by 100 to 400 milliseconds for some users. Those users searched 0.2% to 0.6% less, and the effect *persisted after the delay was removed*: slowness taught people to use the product less. Google Research, “Speed Matters”

Pinterest, 2016. A performance project cut the time people waited for pages by 40%. Search-engine traffic rose 15% and sign-up conversion rose 15%, which Pinterest called its biggest user-acquisition win of the year. Pinterest Engineering blog

CASE TWO

Discord’s “boring” bet on gamers

When Midjourney exploded on Discord, outsiders assumed it was a turning point. Peter’s reply is striking: in the daily-active charts “*you wouldn’t be able to pick out Midjourney*” 53:41. The reason most people open Discord every day is to talk with friends before, during and after playing games.

So in 2024 the team refocused on being the best place for friends to play *intentional multiplayer games* together. It sounded like a retreat, because Discord already had nearly all PC multiplayer gamers. But “has an account” is not “uses it every session”. There were many small moments where someone almost joined voice and then used in-game chat, or called a friend on FaceTime instead. Fix those and the same people show up more days. Peter says this drove some of Discord’s fastest growth since the pandemic.

There was a bonus. Gamers are, in Peter’s view, the most demanding and detail-oriented users on earth. Telling them “show us the bug thread on Reddit, however small, and we will fix it” built enormous loyalty. The team’s focus became part of the brand.

MORE EXAMPLES · DUOLINGO PROVES THE MATHS

The finding. When Duolingo’s growth stalled around 2018, its team modelled every user as new, current, reactivated, resurrected or at-risk. The single lever that moved daily users most was **current user retention** (CURR: of today’s regular users, how many come back), with roughly five times the impact of the next-best lever. Jorge Mazal, Lenny’s Newsletter

What they built. Leagues and leaderboards raised learning time 17% and tripled highly engaged learners; streak improvements pushed the share of DAU on a 7-day streak to more than half. Over four years DAU grew 4.5 times. same

Today. In Q2 2026 CURR hit a record 84% and DAU grew 23% to 58.7 million. Duolingo Q2 2026 results

WHEN IT BREAKS Retention mechanics can become pressure. A streak you are afraid to lose is a habit, but it can also be anxiety. Chapter 9 asks where the line sits.

There’s always money in the banana stand.

LENNY RACHITSKY, SUMMING UP, QUOTING *ARRESTED DEVELOPMENT* · 56:25

THE TOOL

Core product value

How do you keep a whole company focused on the core? Peter’s answer, used at both Snap and Discord, is **core product value (CPV)**: a single sentence describing why people come back every day, where each phrase is tied to a metric. The sentence gives people meaning; the metrics make it usable by engineers and data scientists.

● Midjourney

AI image generator that launched entirely inside a Discord server in 2022. Its server grew to roughly 20 million members, the largest on the platform, which made it look like a huge driver of Discord’s growth.

● Check · Discord refocus

Confirmed. In May 2024 then-CEO Jason Citron said Discord would “narrow our focus from broadly being a community-centric chat app to being a place that helps people deepen their friendships around games”, noting that over 90% of users play games. Discord is private, so the growth claim cannot be independently verified.

● The banana stand

A running joke in the TV comedy *Arrested Development*: the family’s humble frozen-banana stand literally has cash hidden in its walls. Lenny uses it as shorthand for “the unglamorous core business is where the value is”. Peter says it is exactly the kind of phrase that belongs in a strategy doc.

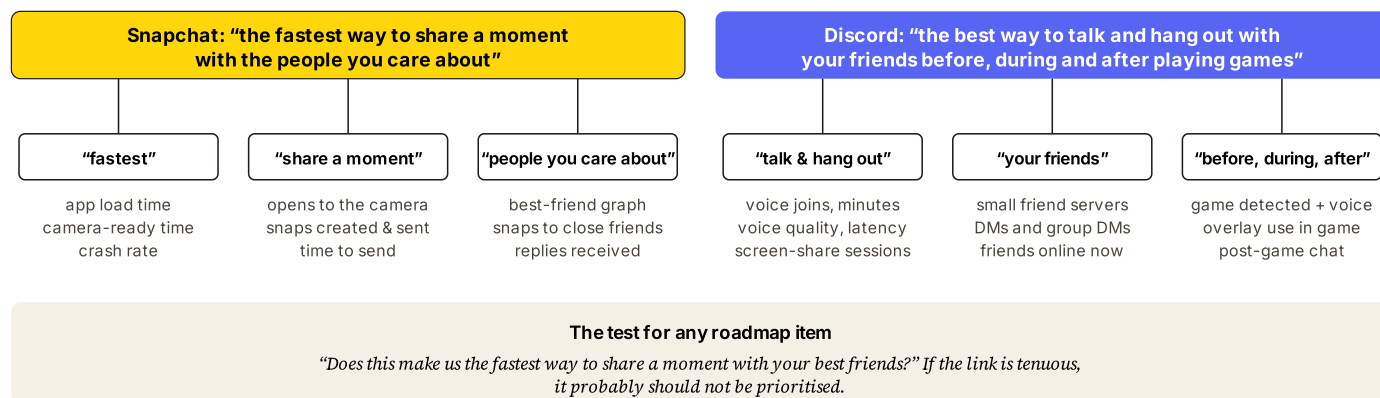


Fig. 3.3 Core product value, decomposed. The two sentences are Peter's. The metrics under each phrase are illustrative: he says the real definitions were proprietary, but that each phrase was broken down this way and causally tied to retention.

Three details make CPV work. First, you need **both halves**: metrics alone mean nothing to people, and a phrase alone never gets acted on day to day. Second, the metrics must be **shown to cause retention**, not just correlate with it, which Peter admits made him unpopular with data scientists. Third, you have to **tell the story over and over**. At Snap, Peter personally gave the CPV presentation to every new hire, every week or two, for seven years. That is the "ideology" from Chapter 1 in practice.

MORE EXAMPLES · PHRASES THAT STEERED WHOLE COMPANIES

Facebook's "7 friends in 10 days". Chamath Palihapitiya's growth team made this the single rallying cry: get a new user to seven friends within ten days and they tend to stay. *Mode Analytics; Startup Archive*

The honest footnote. Analysts later pointed out that such "aha moments" blend very different journeys into one number: one person is hooked by four friends in twenty days, another by ten in two hours. Its real value was as a *quotable rally cry* tied to a causal driver (friend connections), which is exactly Peter's point: phrase plus metric, and prove the metric causes retention.

TASTE · WRITE THE CPV FOR A PRODUCT YOU USE DAILY

Pick an app on your home screen. Write one sentence for why you open it every day, in the form "the [best/fastest/easiest] way to [verb] [what] with/for [whom]". Underline each phrase and name one metric that would prove it. Then list three recent features the app shipped and grade each against the sentence. You will quickly see which features were core and which were someone's side project.

4

STRATEGY

Betting beyond the core

If the core is where growth hides, when should you build something new? Three ways to look outward, one way to die by not looking, and a company that retires its best product on purpose.

Lenny notes that very few companies find a second big thing. At Airbnb, where he worked for years, nothing beyond the original idea changed the growth curve. So "keep improving the core" is not a lazy answer. But it is also not the whole answer. Peter offers three ways to think about expansion, ordered from safest to boldest.

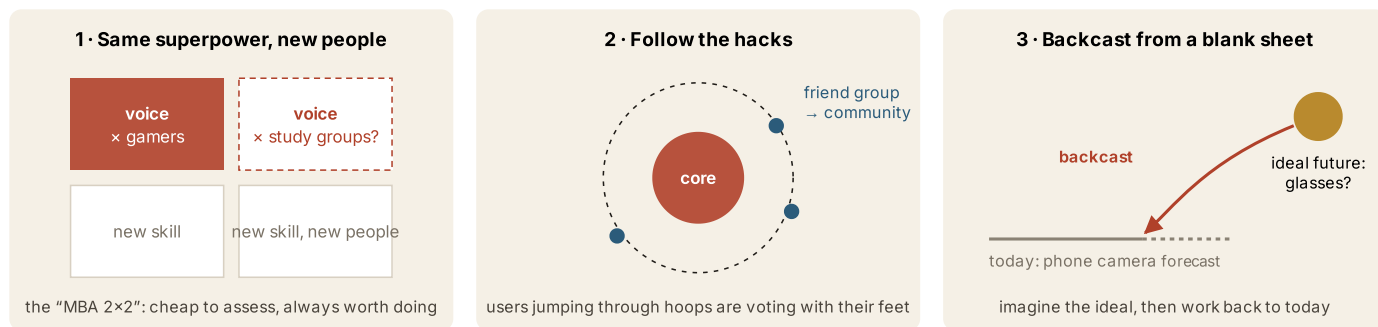


Fig. 4.1 Three ways to look beyond the core. Left: take the core strength (Snap's camera, Discord's voice) to nearby groups of people. Middle: watch for users bending the product to a use you did not plan. Right: picture the ideal future with no reference to today, then work backwards. The "study groups" cell is a hypothetical example.

1. Same superpower, new people

Boil the product down to what it is uniquely good at (for Snap, the camera; for Discord, voice) and ask which other groups of people would value that. Peter calls this the "MBA 2x2" method and says you should always be doing it, because it is cheap.

2. Follow the hacks

"One of the greatest gifts is when people use your product in a way that you didn't expect" 58:09, especially when they go through extra hoops to do it. At Discord, people kept stretching a tool designed for a 20-person gaming group into communities of thousands. When users do that, they are telling you exactly what to make easier. This is expansion in concentric circles: start from the core and grow outward along the paths users are already walking.

MORE EXAMPLES · PRODUCTS THAT USERS INVENTED

The hashtag, 2007. Twitter user Chris Messina proposed the # sign for grouping tweets in August 2007. Co-founder Biz Stone dismissed it as "too nerdy". Users kept doing it, the San Diego wildfires that October showed its value, and in 2009 Twitter made hashtags official and searchable. *CNBC, Jan 2020*

Slack. It began as the internal chat tool at Tiny Speck, a studio building an online game called Glitch. The game failed; the tool the team could not stop using launched in 2013 and was bought by Salesforce for about \$27.7 billion in 2021.

Wikipedia, "Slack (software)"

3. Backcast from a blank sheet

The boldest method is to imagine the future completely unencumbered by the present. Right now the best way to share a moment is to pull out a phone and point it. That is a constraint of today's technology, not of the human need. If your child takes their first steps, what is the *ideal* way to share it? Answer that honestly and you arrive at something like glasses.

Peter is sceptical that many people can do this. Most creative people, he says, "*remix versions of the present*" 01:00:33, and he teases PMs who go on an ayahuasca retreat or a trip to Japan and come back announcing they have solved it.

There is a practical tool for it. Amazon's "**working backwards**" process asks a team to write the launch press release and a list of customer FAQs *before* building anything, so the ideal customer experience is fixed first and the plan is derived from it. Amazon says most of its major products since 2004 went through it, including the Kindle and AWS (S3 and EC2 launched in 2006 after more than a year of PR/FAQ iterations).

● Backcasting

Planning method from sustainability research (John B. Robinson, 1980s): describe a desired end state first, then ask what must be true at each step back to the present. Forecasting does the reverse: extend today's trends forward.

● Check · Snap's glasses

Snap has been backcasting this way for a decade (Spectacles, 2016). In June 2026 it unveiled consumer *Specs*: standalone AR glasses at \$2,195, shipping from autumn 2026 in the US, UK and France, with on-device AI and a recording light. Snap itself expects mass adoption only "toward the end of the decade".

The Thanksgiving turkey

Focusing on the core keeps teams lean and growth steady. Its danger is the one Nassim Taleb described: a turkey is fed every day for a thousand days, and every day its confidence that humans are kind rises. Then comes the day before Thanksgiving. A competitor ten times better can arrive the same way, with no warning in your metrics.

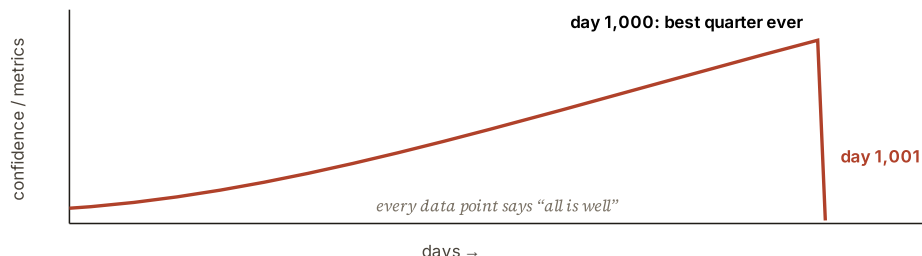


Fig. 4.2 The turkey problem (from Taleb's *The Black Swan*, 2007). Past data cannot warn you about the event that ends the pattern. Peter admits he has no formula for guarding against it; if he did, he says, he would work in finance.

BlackBerry is the textbook turkey. It held about 20% of the global smartphone market in 2009, two years after the iPhone launched, and kept improving its keyboard phones for the customers it had. By the fourth quarter of 2016 its share had rounded to 0.0% (MacRumors, citing Gartner).

THE COUNTER-EXAMPLE

SpaceX burns its own ships

Peter's favourite example of a company that guards against its own turkey moment is SpaceX (his wife is an engineer there, though he stresses he has no inside information). SpaceX's Falcon 9 is the most successful rocket in history: reusable, cheap per kilogram, flying constantly. Peter says SpaceX has signalled that Falcon 9 will be phased out in favour of the much larger Starship, because the mission (Mars, and a far higher launch rate) needs a heavier rocket.

The Falcon 9 would be the future for literally every other country, nation state on the planet.

PETER SELLIS · 01:04:06

Peter compares it to Cortés burning his ships on arrival so nobody could retreat. Deliberately building the thing that makes your best product obsolete is the classic cure for Christensen's innovator's dilemma, and it is very rare.

CHECK · IS SPACEX REALLY RETIRING FALCON 9?

DIRECTIONALLY RIGHT, BUT CONDITIONAL On 22 August 2026 Elon Musk posted on X that once Starship is *flying reliably several times per week*, it makes sense to shift production resources from Falcon to Starship. Industry reports suggest most Falcon 9 missions could end from about 2028, but NASA crew and cargo flights to the Space Station (expected through 2030) will likely stay on Falcon 9. There was no formal filing. Context: Falcon 9 has flown nearly 700 times, including 165 missions in 2025 alone. Sources: *Space.com*, Aug 2026; *Teslarati*.

MORE EXAMPLES · REPLACING YOUR OWN BEST PRODUCT

Apple, 2007. Apple launched the iPhone, which included a full iPod, while iPod sales were still booming. Jobs' rule, as widely quoted: *"If you don't cannibalize yourself, someone else will."* IMD, Howard Yu

● PR/FAQ

A 1-page press release plus FAQs written as if the product had launched. If the press release is not exciting, the product probably is not either. Source: workingbackwards.com (Bryar & Carr).

● Innovator's dilemma

Clayton Christensen's 1997 idea: successful companies fail because serving today's best customers well stops them from backing the cheaper or different technology that later replaces them. Peter jokes that Christensen, who died in 2020, would shed a happy tear at SpaceX.

Netflix, 2011: right move, wrong execution. Betting on streaming over DVDs, Netflix raised combined-plan prices by 60% and announced it would split DVDs into a separate brand, Qwikster. It lost 800,000 US subscribers in a quarter and scrapped Qwikster within weeks. Streaming won anyway. *TIME*, Oct 2011

WHEN IT BREAKS Cannibalising yourself is a strategy; how you move customers across is a product problem. Netflix's direction was right, but it asked loyal customers to pay more for a worse experience overnight.

Publish the roadmap

Peter admires another Musk habit: publishing the long-range plan. Tesla's 2006 "Secret Master Plan" said, in effect: build an expensive sports car, use that money to build a cheaper car, use that money to build an affordable car. It then did roughly that (Roadster, Model S, Model 3). In 2014 Tesla opened its patents. Peter calls this the product leader's ultimate swagger: a plan so ambitious that telling competitors about it costs you nothing.

AMBITION

You need a push, not just speed

Lenny notes a theme across recent episodes: AI makes building easy, so ambition becomes the limit. Peter reaches for physics. The status quo has "static friction". Knowing where you are (position) or how fast you are going (velocity) is not enough. What moves a stuck system is a change in acceleration, and that requires a push.

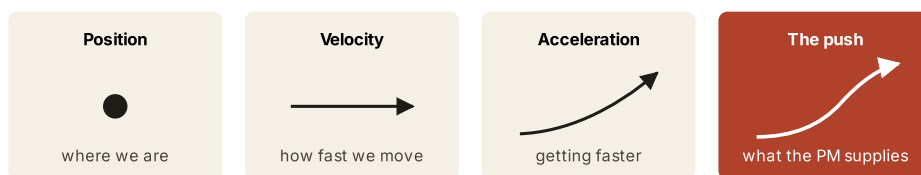


Fig. 4.3 Peter's derivatives. He loosely calls the push "impulse" and "the third derivative". In physics the third derivative of position is *jerk* and impulse is force applied over time; either way, the point is that someone has to apply a force to change the trajectory.

He adds an important warning. Raising ambition credibly is a skill; saying "what if we did it faster?" in every meeting is not. He jokes that anyone with grey hair and a fancy degree can walk into a room and ask that. The PMs who can raise the bar repeatedly, without it becoming noise, are rare.

5

BUSINESS MODELS

How consumer apps make money

Snapchat has nearly a billion monthly users and still earns a fraction of what Facebook does per person. Peter's explanation is a lesson in how product design and business model are the same decision.

STARTING POINT

Why ads win on the consumer internet

Peter sides with analyst Eric Seufert: advertising is "*the magical product market fit of consumer monetization on the internet*" 21:25. The logic is worth spelling out, because early PMs often assume subscriptions are cleaner.

- **Free products reach everyone.** A price, even a small one, cuts most people out. Ads let the product stay free, so the network (friends, creators) is as large as possible.

- **Revenue scales with attention, automatically.** Every extra minute someone spends is inventory. No one has to decide to pay again each month.
- **Richer users subsidise poorer ones.** Advertisers pay more to reach people with more spending power, so a teenager in Lagos and a lawyer in London get the same product.

India offers the clearest proof of the first point. When Reliance Jio launched in September 2016 with free 4G data for months, it reached 100 million subscribers in 170 days. Data prices fell from roughly ₹200–300 per GB to ₹10–50, and India’s monthly mobile data use rose from about 200 million GB to over 1 billion GB within six months. Price was the barrier; remove it and a whole country’s habits change. (Jio made money later, from paid plans, which shows that “free” is a stage, not always a business model.)

The catch: ads only pay well if the ad slot sits where attention naturally lands, and if advertisers can *measure* that their money worked. Snap struggles on both counts.

THE DIAGNOSIS

Three things holding back Snap’s ads

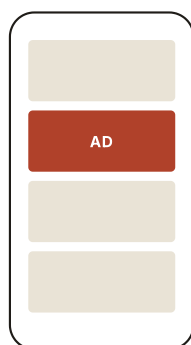
1. The audience is young, and the young are hard to measure

Snap appealed to Gen Z at an unusual rate, and now reaches Gen Alpha too. Peter describes a “*suspicious discontinuity*” ^{22:02} in ad prices between ages 17 and 18, and again between 18 and 21. Under 18, rules on tracking, targeting and measurement are tight, and he says rightly so. Hard-to-measure audiences produce weaker performance ads, and weaker results mean advertisers bid less. “Teens influence their parents’ purchases” may be true, but nobody can prove it on a dashboard.

2. Snapchat opens to the camera

Almost every display-ad business opens on the screen where the ads live: a feed. Snapchat opens on a camera. That is brilliant for the product (it is the fastest way to capture a moment) and terrible for ads, because the core loop of *take a snap, send it to a friend* has no natural place for one. Peter counts camera monetisation among his biggest failures at Snap.

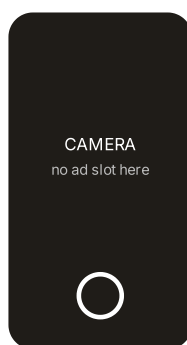
Feed-first app (Instagram, Facebook)



opens here
= attention lands
on the feed

ad every few posts

Snapchat



opens here =
attention on the
user's own moment

Where Snap’s ads actually live

Camera	sponsored Lenses only
Chat	sponsored snaps in inbox
Stories & Discover	ads between stories
Spotlight (short video)	feed-style ads
Map	promoted places

ads work best in the consumption surfaces,
which compete head-on with TikTok

Fig. 5.1 Where the app opens decides where the money is. A feed puts attention and ad slots in the same place. Snapchat’s creation-first design puts attention on the user’s own camera, so ads are pushed to secondary surfaces (Stories, Spotlight) where Snap competes with TikTok and Instagram for consumption time.

3. At its core, Snapchat is a messaging app

Messaging apps are wonderful utilities and terrible ad businesses. Peter points out that even the Asian “super apps” people cite as proof, when you measure *dollars per hour spent*, are not exceptional monetisers. Nobody wants an ad between them and their best friend.

● Eric Seufert

Mobile advertising analyst, author of the *Mobile Dev Memo* newsletter; known for arguing that ad-supported models are the most scalable way to fund free consumer products.

● CPM

“Cost per mille”: what an advertiser pays for 1,000 ad impressions.

$$CPM = ad\ spend \div impressions \times 1,000$$

Peter says “CPN”, a slip for CPM.

● ARPU

Average Revenue Per User:

$$revenue\ in\ period \div average\ users$$

Snap reports it per quarter and per DAU. Always check the period and the denominator before comparing companies.

● Check · Teen ad rules

Confirmed and tightening. On Meta’s apps, ads to 13–17-year-olds can now use only age, gender and country/region; interests, behaviour and retargeting are gone. The EU’s Digital Services Act bans ads based on profiling when a platform knows a user is a minor. In the US, COPPA covers under-13s.

MORE EXAMPLES · HOW THE BIGGEST MESSAGING APP MAKES MONEY

WhatsApp keeps ads out of chats and earns around them. Businesses buy ads on Facebook and Instagram that open a WhatsApp chat (“click-to-WhatsApp” ads, up 60% year on year in Q3 2025), and pay per message to talk to customers. Meta’s “other revenue”, driven by WhatsApp paid messaging and Meta Verified, hit \$690M in that quarter, up 59%. Display ads are arriving only in the Status tab, not in conversations. *Storyboard18, Q3 2025 earnings*

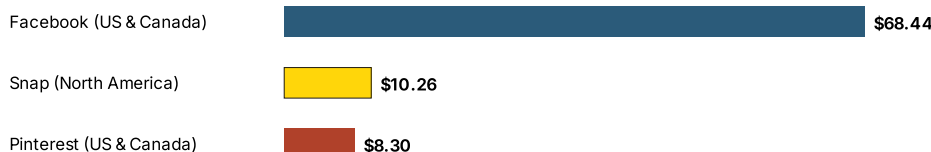
The lesson. This is Peter’s point from the other side: when the core surface is a private conversation, the money comes from the edges (businesses, verification, a feed-like tab), not from interrupting friends.

Add those up and his summary is blunt: Snap tried to build a multi-billion-dollar ads business quickly on a lower-value audience, in a hostile format, inside a utility. He thinks Snap deserves more credit than it gets, and the record partly backs him.

CHECK · “SNAP GOT TO \$4 BILLION FASTER THAN TWITTER, PINTEREST OR REDDIT”

HOLDS UP Snap (founded 2011) reported about \$4.1B of revenue in 2021, its tenth year, and went public in March 2017, before Pinterest (2019) and Reddit (2024). Twitter (founded 2006) first passed \$4B in 2021, fifteen years in. Pinterest (founded 2010) was still at \$3.6B in 2024. Reddit is far smaller. *Sources: company annual reports.*

Revenue per user in North America, per quarter



Facebook: Q4 2023 (a holiday quarter), the last time Meta reported this series.
Snap and Pinterest: Q2 2026. Snap’s figure includes subscription revenue.

Fig. 5.2 The gap Peter is explaining. Not a perfect comparison (different quarters and definitions), but the order of magnitude is the point: Facebook earns several times more per North American user. Notice, though, that Snap now out-earns Pinterest per user, helped by subscriptions.

PLAN B

Subscriptions, and why time is the enemy

Snapchat+ launched in June 2022 and has worked well. By July 2026 Snap’s paid tiers had about 25 million subscribers, and “other revenue” (mostly subscriptions) grew 85% year on year to \$316M in Q2 2026. Yet Peter wonders what would have happened had it launched four years earlier.

His reason: subscriptions to messaging utilities need time. Nobody opens Snapchat for the first time and wants to pay. People first become daily users, then discover features worth paying for. Adoption grows slowly, roughly linearly, cohort on cohort. Launched in 2018, that stack of cohorts would have been four years taller by 2022, which would have eased pressure on ads to grow quickly, which would have left more room to design the content side for users rather than for ad load, and possibly to compete better with TikTok. That chain of consequences is what Lenny teasingly calls “big-brain systems thinking”.

Compare Duolingo, which chose subscriptions early and uses ads mainly on the free tier. In Q2 2026 it earned \$258M from subscriptions and \$21M from ads, with 12.7 million paying subscribers out of 140.6 million monthly users, about

● Subscription cohorts

A cohort is the group who started paying in the same month. Revenue in any month = the sum of every surviving cohort. Because each cohort shrinks with churn, revenue builds like layers of sediment: slowly, then substantially.

9%. Snapchat's paying share is under 3%. A product whose value compounds with daily use (a language streak, a friend graph) can charge, but only once the habit exists.

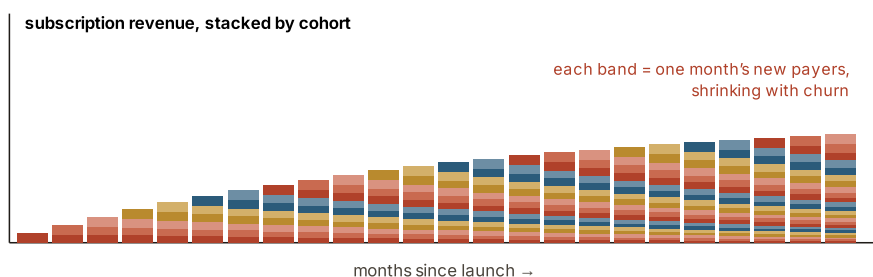


Fig. 5.3 Why subscription businesses reward starting early. An illustrative model: each month adds a new cohort that decays slowly. Early months look tiny, which is why companies delay. The height you have in year five depends on when you started stacking.

THE PRINCIPLE

Be “long-term greedy”

Ads teams live on revenue targets, which pulls everyone towards short-term decisions. Peter's antidote at Snap and Discord was a phrase: **long-term greedy**. It rests on a simple observation: **ad revenue tomorrow is caused by the return advertisers get today**. An advertiser who makes money comes back with a bigger budget. One who does not, leaves.

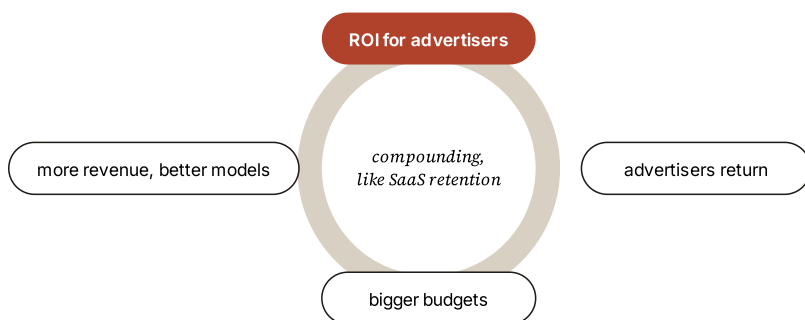


Fig. 5.4 The long-term greedy loop. Advertiser ROI works like “net revenue retention” in software: happy customers expand their spend. Squeezing revenue today (more ad load, higher prices) can break the loop.

There is a subtlety. The easiest way to raise an advertiser's ROI is to lower the “I”, their cost. In a modern auction, price is an output, not a dial you set directly (Chapter 6). But the principle holds: sometimes you knowingly give up revenue today so that advertisers come back bigger. The phrase matters because it gives teams *cover* to think long term when it is hardest: when you are public, missing numbers, and a layoff is on the table. “We’re not a charity”, Peter says 01:12:56; we do this because they will come back tomorrow even bigger.

● Where the phrase comes from

“Long-term greedy” is credited to Gus Levy, senior partner of Goldman Sachs from 1969: short-term losses are bearable as long as the firm makes money over the long run.

● ROI

Return on investment:

$$(value\ gained - cost) \div cost$$

For advertisers, usually “return on ad spend”: sales driven per dollar of ads.

● Net revenue retention

Revenue this year from last year's customers ÷ their revenue last year. Above 100% means existing customers are spending more.

FLOURISHING · WHO PAYS SHAPES WHO YOU SERVE

Every business model quietly defines a customer. With ads, the customer is the advertiser and the user's attention is the product, so the pull is towards more time spent. With subscriptions, the user is the customer, so the pull is towards value delivered, though subscriptions can also exploit habit (streaks you pay to “restore”). Snap's own evolution is instructive: its most user-friendly design choice, opening to the camera, is exactly what made ads hard. When you design a product, ask which model would reward you for making people's lives better, and whether you can live with the one you have chosen.

Ad auctions, and the trust problem in AI

The most technical stretch of the episode, made simple: how a modern ad auction decides what you see, and why the same maths could make or break ads inside ChatGPT.

THE BASICS

From “highest bid wins” to “most value wins”

Every time you open a feed, an auction runs in a fraction of a second to decide which ad you see. Early auctions were simple: the highest bid won. That turned out to be bad for everyone. A rich advertiser with an irrelevant ad would win, users would learn to ignore ads, and the platform would earn less over time.

The fix, refined by Google and then Meta, was to rank ads by the **total value** of showing them, not by the bid alone. Meta publicly describes three ingredients:

INGREDIENT	WHAT IT MEANS	WHY IT IS THERE
Bid	What the advertiser will pay for the outcome they want	Money still matters
Estimated action rate	Predicted chance this user takes that action	Relevance: an ad nobody acts on earns nothing
Ad quality / user value	Signals of whether people like or hide the ad	Protects the user experience

● Estimated action rate

The platform’s prediction of how likely *this* user is to take the action the advertiser pays for (install, purchase) after seeing *this* ad. Machine-learning models trained on billions of past impressions produce it.

A WORKED EXAMPLE

Two advertisers want to reach Priya. **A** sells running shoes and bids \$5 per purchase; the model predicts a 3% chance Priya buys. **B** sells a finance course and bids \$15 per purchase; predicted chance 0.8%.

Expected value to the platform: $A = \$5 \times 0.03 = \0.15 ; $B = \$15 \times 0.008 = \0.12 . A wins despite bidding a third as much. Now add the user-value term: if people like Priya often hide finance-course ads, B’s score drops further. Advertisers who are irrelevant or annoying must bid much more to be seen.

Peter’s framing of Meta’s breakthrough is exactly this last point: “*the organic value of an advertisement and an advertiser to that user should be factored into their bid*” 41:43, so you have to pay more to reach people who do not want to be reached.

MORE EXAMPLES · HOW AUCTIONS LEARNED THIS THE HARD WAY

GoTo.com, 1998. The first pay-per-click search auction ranked ads purely by bid and charged winners what they bid. Advertisers kept changing bids to undercut each other, and prices bounced around constantly. Wikipedia, “Sponsored search auction”

Google AdWords, 2002. Google ranked ads by $\text{bid} \times \text{quality}$ (at first, how often people clicked) and charged a second-price-style amount: just enough to beat the ad below. Relevant ads could win with lower bids, users clicked more, and Google earned more. This is the ancestor of Meta’s “total value”. same

VCG in plain words

Peter says the right mechanism is a “modified VCG” auction. The idea sounds exotic but is intuitive: **each winner pays for the harm their winning does to everyone else**. If your ad takes the top slot, you pay roughly the value the other advertisers (and the user) would have had without you. With a single slot, that reduces to “pay the second-highest value”, which is why “second-price auction”

● VCG

The Vickrey–Clarke–Groves mechanism, from three economists (1961–73). Its key property: bidding your true value is your best strategy, so nobody needs to game the auction. Facebook adopted a VCG-style auction for its ads.

is its everyday cousin. Two properties follow. Honest bidding is safe, and the price of a slot is set by the competition, not typed in by the platform. That is what Peter means when he says “*price is an output, not an input*” 01:12:10.

One auction for ads and posts

A second benefit: once everything is scored in dollars, the same auction can rank organic posts and ads together. A friend’s photo gets a value (how likely you are to enjoy it, converted to a common unit); an ad gets its total value; the feed is simply the highest values in order. Peter calls dollars “*the ultimate denominator*”.

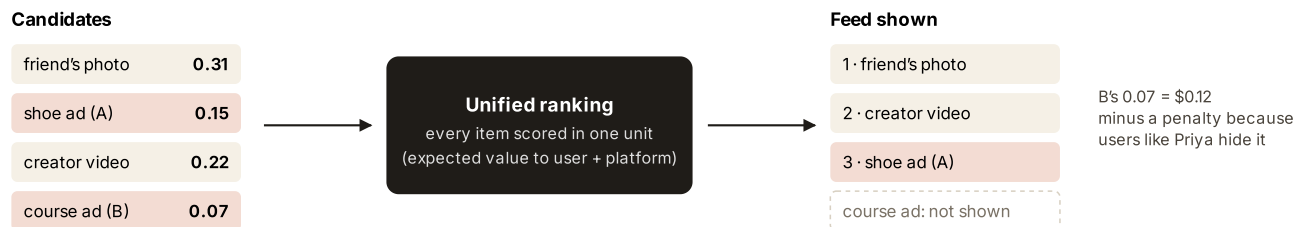


Fig. 6.1 A unified auction, simplified. Numbers continue the worked example and are illustrative. Real systems use thousands of signals, pacing and budgets, but the principle is this: ads and posts compete for the same slots on a common scale.

THE NEW FRONTIER

Ads inside AI chat

Peter says OpenAI is “speed running” the whole modern ads stack, and calls this a **last-mover advantage**: the hard problems of ad marketplaces were solved by Meta and Google between roughly 2010 and 2020, so a newcomer can adopt the finished playbook. The open question is the one term in the auction that must change for chat.

In a feed, the “user value” term is roughly “will they enjoy this ad?”. In a chat, Peter argues, it should be **trust**. Ask “what mic should I buy?” and the system has to decide: give the objective answer, a set of answers, or let advertisers influence it. “*The mechanism by which how influenced I should be should essentially be how much trust I’m trading off*” 42:46.

● Check · ChatGPT ads

OpenAI announced ads on 16 Jan 2026 and began showing them to US users on the Free and Go tiers around 9 Feb. Self-serve buying opened in May; by mid-year ads ran in 40+ countries. Ads appear as labelled cards *below* an answer, never inside it. Buyers pay per 1,000 impressions or per click in a relevance-weighted second-price auction. No ads for under-18s or in sensitive topics (health, mental health, politics). Plus, Pro and Business plans are ad-free.

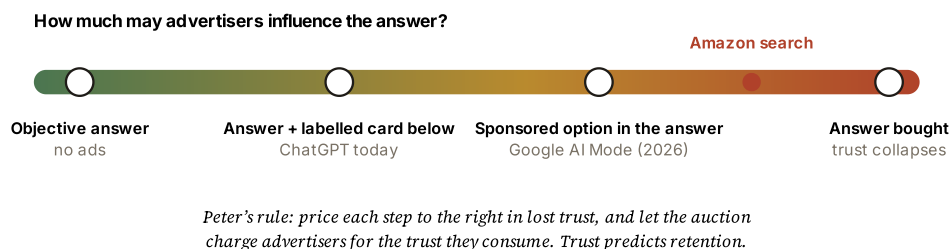


Fig. 6.2 The trust dial. Moving right earns more today and spends trust. Amazon’s search results, where many sponsored listings can appear before the first organic one, show how far a strong product can drift along this dial; Peter wonders whether it is quietly eroding trust in the system.

MORE EXAMPLES · WHERE REAL PRODUCTS SIT ON THE DIAL

ChatGPT (2026): ads are labelled cards *below* the answer, never inside it, and are excluded from health, mental-health and political conversations.

Google AI Mode (May 2026): new “Highlighted Answers” let a relevant ad appear *inside* the AI’s list of recommendations, labelled “Sponsored”. One step further right. Google Ads blog, 20 May 2026

Amazon search: a 2024 study of 4,800 searches across four countries found products ranked beyond 100th organically appearing as sponsored results *above* the top organic results, and these sponsored products were on average pricier and lower quality. arXiv 2407.19099, “Sponsored is the New Organic”

WHEN IT BREAKS Each step right can pass an A/B test, because revenue shows up this week and lost trust shows up years later. That is why Peter wants trust priced inside the auction itself, not left to someone's judgement in a review meeting.

Two more of his views are worth noting. First, he thinks **ad formats at OpenAI** may be one of the most consequential product jobs in the world right now: nobody knows yet what an ad should look like in a conversation, let alone in voice. Second, he was **disappointed that OpenAI made its top tiers ad-free**. He thinks ads could genuinely help people in everyday (non-work) chat, and that “*lopping off your most valuable users*” ^{44:47} from the ad business so early weakens it. You can reasonably disagree: many people would pay precisely to keep commercial influence out of their assistant.

FLOURISHING · ADS IN AN ASSISTANT YOU CONFIDE IN

People ask AI assistants about their health, money, relationships and work. An assistant earns that intimacy by being on the user's side. Peter's trust-weighted auction is a good-faith attempt to make the business model respect this: advertisers pay more the more they would bend an answer. OpenAI's choices so far (ads below answers, none in health or politics, none for minors) point the same way. The risk to watch is slow drift, the Amazon pattern, where each small step right seems harmless. As a builder, decide in advance which lines you will not cross, and write them down while the numbers are still small.

● Check · Early results

Reporting from mid-2026 found some early ChatGPT advertisers struggled to prove results, citing thin reporting and premium prices. That is the measurement problem from Chapter 5 again.

7

PRODUCT PROFILES

The products behind the stories

For each company in the episode: the human need it serves, how the product works, why its main features exist, how it makes money, and what a builder should take from it. Figures are the latest public numbers as of September 2026.

Reading a product well is a skill you can practise. For every profile below, try to answer four questions before you read the analysis: *What need does this meet? What is the loop that brings people back? Who pays, and for what? What would break it?* Then compare notes.

Snapchat

A camera for talking to your closest friends, with a media business bolted on the side.

Company	Snap Inc., Santa Monica
Founded	2011 · IPO March 2017
Users (Q2 2026)	493M daily · 971M monthly
Revenue (Q2 2026)	\$1.60B, +19% y/y
Ads / other	\$1.28B (+9%) / \$316M (+85%)
Paid subscribers	~25M (July 2026)
Profitability	Net loss \$164M; adj. EBITDA \$250M

The need

Belonging and self-expression without pressure. Most social apps are a stage: you post, people judge, the post stays forever. Snapchat is closer to passing notes in class. Messages disappear by default, you talk to a handful of close friends, and a silly photo is a perfectly good reply. That made it the place teenagers actually talk. Peter describes it as the number one messaging app for teens in most Western countries, with 70–100% penetration among under-21s, and the default camera and map for that group.

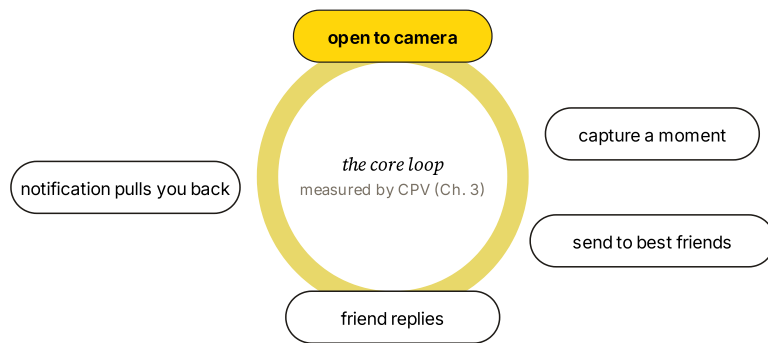


Fig. 7.1 Snapchat's loop is a conversation. Every step is creation or communication; none is passive scrolling. That is why it is loved, and why ads struggle to find a place (Chapter 5).

Key features, and the job each one does

FEATURE	WHAT IT IS	WHY IT EXISTS / WHAT IT TEACHES
Camera & Lenses	Opens straight to the camera; augmented-reality face and world effects	Speed of capture, and play. Lenses made AR mainstream years before "AR" was a buzzword, and are one of the few camera surfaces with sponsored ads.
Snaps & Chat	Photo/video messages that disappear after viewing; text chat	Ephemerality lowers the cost of sharing. No permanent record means more honest, casual communication.
Streaks	A counter of consecutive days two friends have exchanged snaps	A powerful daily-habit mechanic, and the most criticised one, because it can turn friendship into an obligation (see flourishing box).
Stories	A 24-hour collection of your day for all friends	Invented here in 2013, copied by Instagram, WhatsApp and Facebook. The clearest proof that a feature alone is not a moat.
Spotlight & Discover	Short-video feed; publisher and creator shows	The consumption surfaces where most ads live, and where Snap competes with TikTok.
Snap Map	A live map of where friends are (opt-in), plus local places	Answers "who's around?"; for many teens it replaced Google/Apple Maps.
Bitmoji	A personal cartoon avatar (Snap bought Bitstrips in 2016)	Identity and expression without a selfie; shows up in chat, the map and Lenses.
My AI	An AI chatbot inside the chat list (2023)	Places AI where users already talk; raised early concerns about teens and chatbots.
Snapchat+, Lens+, Platinum	Paid tiers from 2022: early features; Lens+ (\$8.99/mo); ad-free Platinum (\$15.99/mo); Memories storage plans	Direct revenue from superfans. Under 3% of monthly users pay, so there is headroom.
Specs	Standalone AR glasses, \$2,195, shipping autumn 2026	The backcast from Chapter 4: the camera leaving the phone.

How it makes money

Snap revenue mix, Q2 2026 (\$1.60B)



"Other" is mostly subscriptions (Snapchat+, Lens+, Memories storage). It grew 85% y/y versus 9% for ads.

Ads run in Stories, Spotlight, Discover, the chat inbox (sponsored snaps) and as sponsored Lenses; better machine-learning models drove a 56% rise in advertiser conversions year on year in Q2 2026. The growth story, though, is direct revenue. The strategic weakness is geographic: North American daily users were flat at 92M, with growth coming from lower-ARPU regions.

Moat and threats

Moat: the close-friend graph of a generation, and habit. You cannot copy the fact that all your friends are there. **Threats:** TikTok and Instagram for attention; regulation and lawsuits about teen wellbeing; and the ad-market headwinds of a young audience.

TASTE · WHAT TO STEAL FROM SNAPCHAT

- **Design for a feeling, not a feature list.** “Low-pressure sharing with close friends” explains ephemerality, the camera-first launch and the small-circle focus in one breath.
- **Your best product decision may be your hardest business problem.** Opening to the camera was right for users and made ads hard. Know the trade you are making.
- **Great ideas get copied; networks do not.** Stories was copied within three years. The friend graph was not.

FLOURISHING · SNAPCHAT

MIXED Talking to close friends is among the most wellbeing-positive things people do online, and Snapchat is built around it rather than around strangers and follower counts. But mechanics like Streaks can turn friendship into a daily chore, and teenage users are the most vulnerable to compulsive use. In July 2026 Snap settled a youth social-media addiction lawsuit days before trial (terms undisclosed), one of more than 3,000 similar claims against large platforms. A builder’s question: which of your habit mechanics would users still choose if they could see exactly how they work?

Discord

The room where friends hang out while they play, and the place many online communities call home.

Company	Discord Inc., San Francisco
Founded	2015 · still private
CEO	Humam Sakhnini (since Apr 2025)
Users	200M+ monthly (company)
Revenue	private; est. \$0.6–0.9B/yr
Valuation	\$15B peak (2021)
IPO	filed confidentially Jan 2026

The need

Presence. Playing a game with friends is more fun when you can hear them, and “hanging out” online used to mean phoning someone. Discord’s key design choice is the **voice channel**: a room you drop into, not a call you place. If your friends are in the room, you just join. No ringing, no scheduling, no awkwardness. Communities grew around that same structure: a server is a clubhouse with rooms.

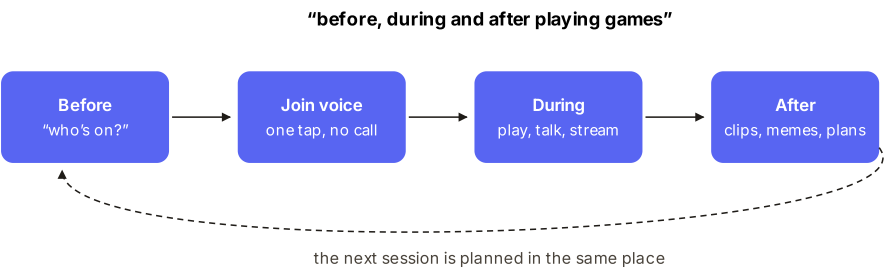


Fig. 7.2 Discord’s loop follows the game session. Its core product value sentence (Chapter 3) is literally a map of this loop.

Key features

FEATURE	WHAT IT IS	WHY IT EXISTS / WHAT IT TEACHES
Servers & channels	Invite-only spaces with text and voice rooms	One structure works for a 5-friend group and a 20-million-member community. Flexible primitives beat special-purpose features.
Voice channels	Always-open voice rooms you drop into	Presence without friction; Discord's technical edge is low-latency, reliable voice.
Go Live & video	Stream your game or screen to friends	Watching a friend play is part of hanging out.
Activities	Games and apps played inside a voice call (Embedded App SDK)	Pulls the "during" into Discord itself; also a platform play for developers.
Roles, bots, apps	Permissions and third-party automation for servers	Communities run themselves; this is how Midjourney ran its whole product on Discord.
Nitro & Boosts	\$9.99/mo (Basic \$2.99): bigger uploads, HD streaming, custom emoji; Boosts upgrade a whole server	Monetises self-expression and generosity, not attention. Boosts let fans pay for their community.
Quests	Opt-in rewarded ads: play or watch a game, earn in-game items	An ad format native to the core loop. Discord reports a 96% median completion rate.

How it makes money

Historically almost entirely from users: Nitro subscriptions (the largest single line), server Boosts, a cosmetics Shop and a cut of app and server subscriptions. Since 2024, **Quests** add advertising that rewards the user and fits the gaming loop, which is Peter's "ad format" question from Chapter 6 answered for a community app. Discord is private and estimates of its revenue vary widely (roughly \$600M–\$900M a year in recent reports), so treat any single figure with care.

Moat and threats

Moat: friend groups and communities that live there, plus near-universal adoption among PC multiplayer gamers. **Threats:** safety. Discord's openness also hosts harm, and in 2026 it announced "teen-by-default" settings and age verification globally, then slowed the rollout after a privacy backlash. The path to an IPO depends on growing revenue without breaking the community's trust.

● Check · "Discord has no ads"

Often repeated, no longer true. Sponsored Quests launched in 2024 and have expanded to video and "Instant Play" formats (March 2026).

TASTE · WHAT TO STEAL FROM DISCORD

- **Remove a social cost and you create a behaviour.** A phone call asks permission; a voice room does not. That one change created a new way to hang out.
- **Serve the most demanding users.** Building for picky gamers raised the quality bar for everyone else.
- **Monetise generosity.** Boosts turn "I love this community" into revenue without ads.

FLOURISHING · DISCORD

MOSTLY ALIGNED Its core use (real-time time with real friends) is strongly pro-social, and its main revenue comes from users who choose to pay, so the business does not depend on maximising time spent. The hard part is open communities with minors in them. Moderation and age assurance are where Discord's values are tested, and the 2026 backlash shows that safety and privacy can pull against each other.

ChatGPT

An expert on call for anything, now testing how to pay for itself without losing your trust.

Company	OpenAI, San Francisco
Launched	30 November 2022
Users	~900M weekly (early 2026)
Paying subscribers	~50M (reported)
Plans	Free · Go · Plus \$20 · Pro · Business
Ads	Free & Go tiers, since Feb 2026
Valuation	\$730B (Feb 2026)

The need

Competence and understanding. For most of history, getting a patient, knowledgeable answer to your specific question meant knowing an expert. ChatGPT made that feel available to everyone, for writing, learning, coding, planning and thinking out loud. It reached 100 million users in about two months, the fastest consumer adoption on record at the time, and was the most downloaded app of 2025.

How it makes money

Four revenue engines, one product



Fig. 7.3 ChatGPT’s business model. Unlike a social app, every answer costs real money to compute. That is why a free tier needs either a paid upgrade path or ads, and why Peter’s trust question (Chapter 6) matters so much.

The economics differ from social media in one crucial way: **serving a user is expensive**. A social feed costs fractions of a cent per session; a long AI answer can cost far more. So the free tier, which is most users, has to be paid for somehow. Ads are the classic answer, and OpenAI has built them with visible guardrails (Chapter 6). Peter’s view is that the tricky design decision is not *whether* to have ads but how the auction prices trust and what the ad format looks like in a conversation or in voice.

TASTE · WHAT TO WATCH IN CHATGPT

- **Tiering is product design.** What goes in Free, Go and Plus decides who sees ads and who funds whom.
- **The format is the product.** “Card below the answer, never inside it” is a product decision with ethical weight. Try sketching what an honest ad in a voice conversation would sound like.

FLOURISHING · CHATGPT

PROMISING, WITH A LIVE RISK Broad access to patient explanation is one of the most empowering things software has offered. The risks are over-reliance, and a business model that could, over time, tilt answers towards whoever pays. The early safeguards are good. The test is whether they survive a bad quarter.

SpaceX

Reusable rockets that made space cheap, funded by the internet service those rockets made possible.

Founded	2002 · IPO June 2026 (SPCX)
2025 revenue	\$18.7B
Starlink	\$11.4B · 10.3M subs (Mar 2026)
Space (launch, NASA)	\$4.0B
AI (merged xAI)	\$3.2B
2025 net result	-\$4.9B; adj. EBITDA \$6.6B
Falcon 9	~700 launches; 165 in 2025

The need

Two needs at very different scales. The company’s mission is civilisational: make humanity multi-planetary. Its biggest business meets a basic modern need: internet access for people and places that cables never reached (rural homes, ships, planes, disaster zones). Starlink is the bridge between the two. Cheap reusable launches made it affordable to put thousands of satellites in orbit, and Starlink subscriptions now pay for the rockets.

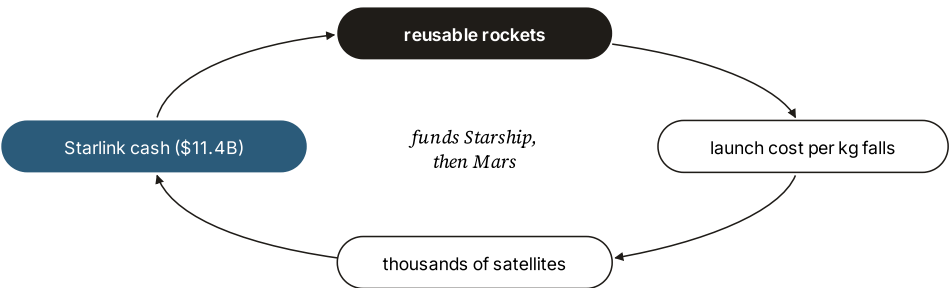


Fig. 7.4 SpaceX’s flywheel. The rocket business created the conditions for the connectivity business, which now funds the next rocket. Note the warning sign in the S-1: Starlink’s revenue per user fell from \$99 a month (2023) to \$66 (March 2026) as it expanded to cheaper markets.

Why Peter brings it up

SpaceX is his example of a company willing to make its own best product obsolete (Falcon 9 for Starship), and of publishing a mission so clearly that the roadmap almost writes itself. Its 2026 filing shows the other side: huge ambition burns cash. SpaceX reported a \$4.9B net loss for 2025, largely from its merged AI business, even as adjusted EBITDA reached \$6.6B. It went public on 12 June 2026 in the largest IPO on record, and closed its first day valued at over \$2 trillion.

TASTE · WHAT TO STEAL FROM SPACEX

- **Let the mission choose between products.** “Mars needs a bigger rocket” makes retiring Falcon 9 a logical step rather than a political fight.
- **Look for the business your capability unlocks.** Cheap launch was the capability; Starlink was the business nobody else could build.

SIDE BY SIDE

The four main products compared

Seeing the products next to each other makes the patterns easier to remember: the need decides the loop, the loop decides where attention sits, and that decides who can pay.

PRODUCT	CORE HUMAN NEED	WHAT BRINGS PEOPLE BACK	WHO PAYS	SCALE	FLOURISHING
Snapchat	Belonging with close friends, without pressure	Replies from best friends; streaks	Advertisers (80%), superfans via subscriptions (20%)	493M daily users	MIXED

Discord	Presence: time with friends while playing	Friends online in voice; game sessions	Users (Nitro, Boosts), plus opt-in Quests ads	200M+ monthly users	MOSTLY ALIGNED
ChatGPT	Competence: an expert on call	Useful answers; memory of your context	Subscribers and businesses; ads fund the free tier	~900M weekly users	PROMISING, LIVE RISK
SpaceX / Starlink	Connection; humanity's long-term future	A service you rely on monthly	Subscribers (\$66/mo avg.), governments, launch customers	10.3M Starlink subs	NOT HABIT-DRIVEN

SHORTER PROFILES

Six more products from the episode

Instagram Stories

The copy that beat the original.

WHAT	Instagram launched Stories in August 2016, openly modelled on Snapchat's. Within a year it had 250M daily users versus Snapchat's 166M, and Snapchat's quarterly user growth slowed from about 17% to 5%.
PETER'S VIEW	Instagram copied so aggressively it even copied Snap's failed features. But he credits its version of Stories as, today, better than the original: well-designed for how Instagram works.
LESSON	A feature is not a moat. Distribution (an existing audience) and execution decided this fight. It is also why Evan Spiegel now argues that software is "no longer a moat" and invests in hardware and ecosystem.

Midjourney

An AI image company that launched with no app of its own.

WHAT	Text-to-image AI launched inside a Discord server in 2022. Bootstrapped with no outside funding; reported about \$300M revenue in 2024 with a team of a few dozen. Its server grew to about 20M members. It later built its own web app.
MODEL	Subscriptions from about \$10/month. Images were public by default in shared channels, which made the free tier its marketing; professionals paid for privacy.
LESSON	Borrowed distribution can launch you (Discord gave it accounts, moderation and virality for free), but it is platform risk. And from the host's side, as Peter notes, even the biggest server can be invisible in the host's own metrics.

Hex

Peter's pick for the AI product that changed his workflow most.

WHAT	A collaborative data workspace: notebooks for SQL and Python, dashboards, and AI agents (a Notebook Agent and "Threads", a conversational analytics interface launched in beta in October 2025) that answer data questions and show their reasoning.
WHY HE LIKES IT	It was one of the only multiplayer AI experiences that worked. He and Discord co-founder Stan Vishnevskiy would query Hex together in the middle of a meeting and get data back while they talked.
LESSON	Most AI tools are single-player. Putting AI into a shared space where a group decides together is a less crowded and more valuable design problem.

Moltbook

A social network where the users were AI agents.

WHAT	A Reddit-like site for AI agents (built on the OpenClaw agent framework), created by Matt Schlicht and Ben Parr. It went viral in early 2026 when posts appeared of agents plotting a secret language; researchers then found weak security that let humans post as agents. Meta acquired it on 10 March 2026 for its Superintelligence Labs.
CONNECTION	Matt Schlicht was Ustream's first product manager, having left high school to work on the product, when Peter worked there in 2009.
LESSON	Novelty spreads fast. Trust and security decide what it is worth.

Ustream, Justin.tv and Twitch

Peter's first job, and a lesson in focus.

WHAT	Ustream (2007) was an early live-streaming platform; IBM bought it in 2016. Its breakout was the Shiba Inu Puppy Cam (October 2008): a San Francisco couple's webcam on a litter of puppies drew three million viewers and 1.2 million hours watched in its first six days and won a 2009 Webby. Peter was, as he puts it, "product leader for the Shiba Inu puppy cam."
THE RIVAL	Justin.tv, a competitor, spun its gaming section out as Twitch in 2011; Amazon bought Twitch for \$970M in 2014.
LESSON	Peter calls Ustream a failure because it did not focus on gaming. The puppy cam also held an early lesson about ambient content: people kept it running in the background while they worked, and wrote in to say it had helped them through hard times.

Gas

The teen compliments app that brought Nikita Bier to Discord.

WHAT	An app where teenagers answered anonymous polls about classmates, always with compliments. It hit #1 on the US App Store in 2022; Discord acquired it in January 2023 and later shut it down.
LESSON	Viral mechanics can create enormous spikes. Turning a spike into daily use is the hard part, which is Chapter 3's argument again.

8

THINKING TOOLS

Systems thinking you can actually do

"Systems thinking" gets said a lot on product podcasts. Peter's version is refreshingly concrete: if you cannot model it, you do not understand it.

Peter pokes fun at the phrase. Most people who claim it, he says, have really just used the "five whys": ask "why?" five times until you hit a root cause. It is useful, and it is not the same thing. His bar is higher: be able to describe the system *mathematically*, as stocks and flows, with a sense of how each lever is distributed.

● Five whys

A root-cause technique from Toyota's production system (credited to Sakichi Toyoda). Good for single failures; weak for loops where causes feed back on each other.

● Stocks and flows

From Jay Forrester's *system dynamics* (MIT, 1950s–60s). A stock is an amount that accumulates (users, cash, trust). Flows fill or drain it (sign-ups, churn). Donella Meadows' *Thinking in Systems* is the gentle introduction.

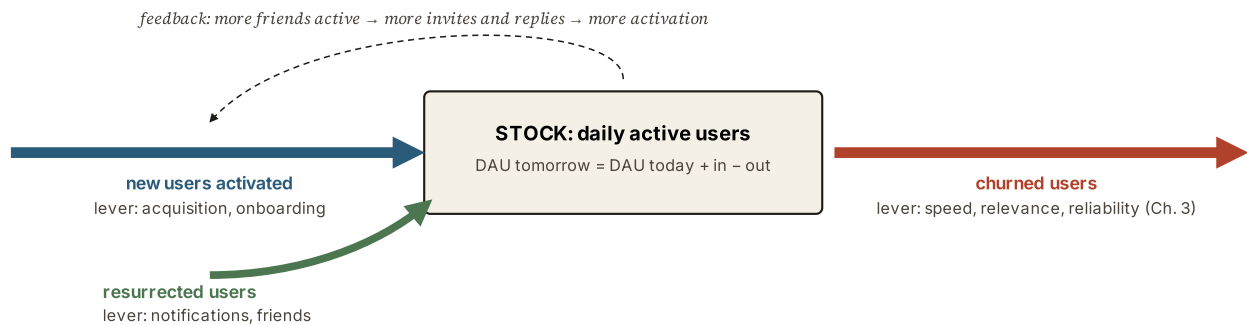


Fig. 8.1 A consumer app as a bathtub. The number of daily users is a stock. It rises with activation and resurrection and falls with churn. Once drawn, it is obvious why Peter's "improve the core" strategy works: cutting the outflow is often cheaper than widening the inflow, and it strengthens the feedback loop.

This is not just theory. Duolingo's growth team built exactly this model: every user sits in one bucket each day (*new*, *current*, *reactivated*, *resurrected* make up DAU; *at-risk weekly*, *at-risk monthly*, *dormant* are inactive), and the flows between buckets are retention rates. Simulating the model showed that current-user retention moved DAU about five times more than any other lever, which set the company's priorities for years (Chapter 3).

His practical advice is to **build a spreadsheet model**, even if it goes nowhere but your shared drive. List the variables, what flows in and out, the levers you control, and the distributions behind them (is this normally distributed, or bimodal like the "smile" of casual and daily users?). A tiny example:

ROW	MONTH 1	MONTH 2	HOW IT IS CALCULATED
DAU at start	1,000,000	1,017,000	previous month's end
+ new activated	60,000	60,000	installs × activation rate (40%)
+ resurrected	12,000	12,200	1.2% of the stock
– churned	55,000	55,900	5.5% of the stock
DAU at end	1,017,000	1,033,300	start + in – out

Play with it. Cutting churn from 5.5% to 5.0% adds about 5,000 daily users a month, as much as raising installs by roughly 8%, without spending a dollar on acquisition. That one comparison explains most of Chapter 3.

● Churn

users lost in period ÷ users at start

Its mirror is retention (1 – churn). Small changes compound: 5% monthly churn loses 46% of a cohort in a year; 4% loses 39%.

Building for human flourishing

Your end goal is products that leave people better off. Here is what this episode teaches about that, pulled together in one place.

Peter mentions Maslow's hierarchy of needs when he argues (Chapter 10) that great consumer products hit a specific human need. It is a useful map for everything in this guide. Put each product where its core need sits, then ask whether its business model rewards meeting that need or exploiting it.

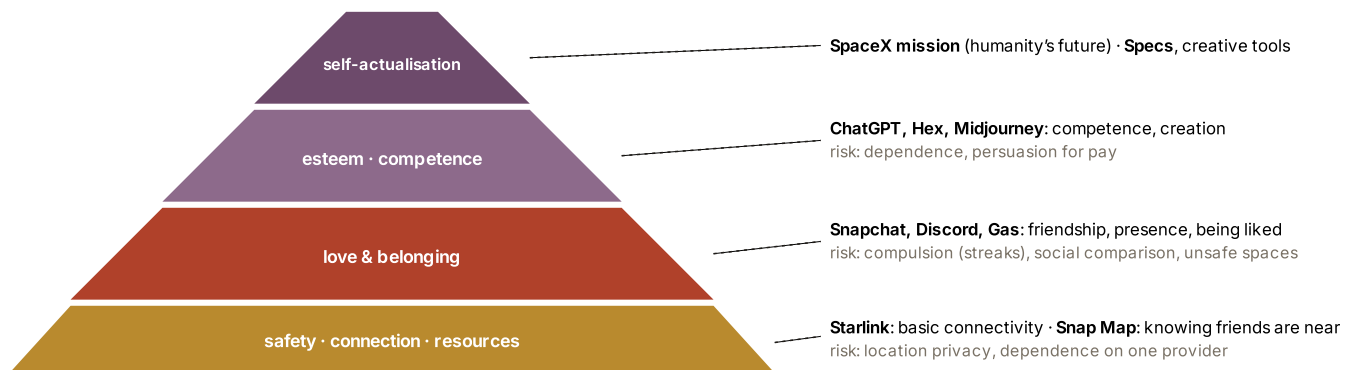


Fig. 9.1 The episode's products on Maslow's hierarchy. Products that meet deep needs (belonging, competence) earn strong habits. That same strength is what makes them dangerous when the business model rewards compulsion over value. Placement is our interpretation; Maslow's pyramid is a loose model, useful as a prompt for "what need is this really serving?"

Five principles the episode supports

- 1. Measure the habit you would be proud of.** Peter's core product value ties metrics to the reason people come back. Define that reason in human terms ("share a moment with the people you care about"), and you have a guard against growth that comes from compulsion instead of value.
- 2. Speed and reliability are a form of respect.** Snap's biggest turnaround came from making the app faster on cheap phones. Improving the core for existing users, especially those with the least, is both good growth and good ethics.
- 3. Choose the business model that rewards the outcome you want.** Discord monetises generosity and self-expression; ad-driven feeds monetise time. Neither is automatically good or bad, but you should know which way your model pulls.
- 4. Price trust explicitly.** Peter's trust-weighted ad auction is the most important idea in the episode for AI builders: treat user trust as a real cost that advertisers (or any business pressure) must pay for, and let that cost rise steeply.
- 5. Restraint is a moral skill as well as an aesthetic one.** The curator who does not hang everything also does not add the manipulative notification, the extra ad slot or the dark pattern, even when a test says it "works".

MORE EXAMPLES · THREE HABIT DESIGNS, THREE ANSWERS

Instagram hides likes (2019–2021). After two years of tests, Instagram found hiding like counts had "small effects, some positive, some negative": some people posted more, others missed a signal of what was popular. In May 2021 it made hiding likes a choice rather than a default. Lesson: measure wellbeing features honestly, and give people control. *TechCrunch*, 26 May 2021

Snapchat streak restores. Every user gets one free restore of a lost streak; after that, restores cost money (price varies by country), and Snapchat+ subscribers get more free ones. A fair question for a builder: are you charging for value, or for relief from anxiety you designed? *Snapchat Support*

Duolingo streaks. More than half of Duolingo's daily users hold a 7-day-plus streak. Here the habit serves a goal the user chose (learning a language), which is the strongest case for a habit mechanic: it helps people do what they already want to do.

A ONE-PAGE FLOURISHING CHECK FOR ANY PRODUCT IDEA

1. **The need.** Which human need does this meet, in one sentence, without naming a feature?
2. **The good day.** What does a user's life look like after a good session? Are they closer to people, more capable, calmer?
3. **The loop.** What brings them back? Would they still choose it if they saw exactly how it works?
4. **The payer.** Who pays, and what does the payer want more of? Does that align with point 2?
5. **The vulnerable user.** What happens for a lonely 14-year-old, or someone in crisis, using it at 2 a.m.?
6. **The line.** What will you refuse to do even when it would lift a metric? Write it down now.

10

OFF THE RECORD, ON THE RECORD

Contrarian corner and Peter's picks

Three opinions at rising spice levels, then the books, game, tool and quote he would hand you.

Mild: your partner is your biggest career decision

Who you marry or share your life with shapes your growth more than any job choice, podcast or course. A great partner supports you, challenges you and acts as an intellectual sounding board. Few people would disagree; few plan their careers as if it were true.

Medium: taste is knowing when to stop

Connecting back to the museum, Peter notices that among wealthy collectors the ones seen as having taste stop *"one step before everybody else does"* 01:22:07. They get passionate early, then let go before a trend tips into cringe. The same test works for product: have you loved things, built them, and then chosen not to ship them?

Hot: some things cannot be learned

His spiciest view: to build truly great consumer products for certain groups of people, some traits of the builders cannot be learned or acquired, including gender, race, ethnicity and socioeconomic background. Consumer products hit specific human needs, and how someone was raised or who they are shapes how deeply they understand those needs. He is careful to say this is *not* "only young black men can build for young black men", that you cannot judge a book by its cover, and that the idea is not really actionable in hiring.

WEIGHING THE HOT TAKE

There is real support for the underlying idea that lived experience improves product intuition: many successful products come from founders solving their own problems, and teams that lack people like their users repeatedly miss obvious needs (early health apps without period tracking are the classic example). The counter-arguments are also strong. Good research, deep empathy and time spent with users can close much of the gap; "inalienable traits" can easily slide into stereotyping and exclusion; and employment law in most countries forbids hiring on these traits. The constructive reading is about team composition and humility: build teams whose life experiences cover your users, and assume you have blind spots when they do not.

What he recommends

PICK	WHAT IT IS	WHY A PRODUCT BUILDER MIGHT CARE
<i>How to Get Filthy Rich in Rising Asia</i>	Mohsin Hamid's 2013 novel, written as a second-person self-help book, following one man's rise from poverty to wealth	A study in ambition, desire and how people actually climb, told through the format of a product (the self-help book).
<i>When Genius Failed</i>	Roger Lowenstein's 2000 history of Long-Term Capital Management, the Nobel-laureate hedge fund that nearly broke markets in 1998	Brilliant models, ignored tail risk: the turkey problem with a \$4.6 billion loss attached.
<i>Einstein's Dreams</i>	Alan Lightman's 1992 book of short fables, each imagining a world where time works differently	Peter gives it to consumer PMs: practice in imagining worlds unlike this one (backcasting's raw material).
<i>Clair Obscur: Expedition 33</i>	A role-playing game by the small French studio Sandfall Interactive; swept The Game Awards in December 2025, including Game of the Year	Proof of how far story, music and craft can carry a small team.
Hex	Collaborative data notebooks with AI agents (profile in Chapter 7)	A rare multiplayer AI product that works.

The quote he lives by

Eventlessness has no posts to drape duration on. From nothing to nothing is no time at all.

JOHN STEINBECK, *EAST OF EDEN* (1952) · PETER PARAPHRASES IT AT 01:29:54

● **Check · Clair Obscur**

Confirmed: Game of the Year at The Game Awards 2025 (December) and at the DICE Awards.

Steinbeck’s point, in the full passage, is that dull, eventless times vanish from memory, while a time “*splashed with interest, wounded with tragedy, crevassed with joy*” seems long. Peter’s takeaway: the way to slow time down is to fill it. Meet people, try things, do what you want to do soon, because you never know. It is also a fitting note for product builders. The products people remember are the ones that gave them moments, not the ones that filled their hours.

SOURCES

Where the facts come from

Quotes and timestamps are checked against the official transcript in Lenny’s public data repository (github.com/LennysNewsletter/lennys-newsletterpodcastdata). Company figures are the most recent public numbers found in September 2026; private-company figures (Discord, Midjourney) are estimates and labelled as such.

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